Risk Management Framework

Carnivore Quant Fund, LP

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STT Capital Advisors, LLC

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Risk Management Philosophy

The Carnivore Quant Fund is engineered for **capital preservation first, alpha generation second**. Every aspect of the system, from signal selection to position sizing to exit discipline, ensures the portfolio can absorb adverse conditions without meaningful drawdown. The Fund employs a multi-layered risk architecture spanning position sizing, portfolio-level controls, and automated alert systems, all enforced systematically with zero discretionary override.

Position Sizing: 1% Vitality Cap

The Fund sizes full positions between **0.5% and 2.0% of NAV**, with **1.0% of NAV** as the standard allocation for individual equities and **0.5% of NAV** for ETFs. Because the initial entry (Lot 1) deploys only 35% of the full position, the actual capital at risk on any new trade is just **0.35% of NAV**, ensuring minimal impact from any single entry. Share count is calculated as floor(risk budget / risk per share). A wider stop produces fewer shares, never more risk.

Asset Type	Max Position Size	Initial Entry (Lot 1)	Rationale
Individual Equities (Vitality)	0.5%-2.0% of NAV (1.0% standard)	0.35% of NAV (at 1.0%)	Core risk unit; full size earned through pyramid confirmation
ETFs	0.5% of NAV	0.175% of NAV	Reduced allocation reflects lower alpha potential

5-Lot Pyramid System

Initial entry deploys only **35% of the full position**. Subsequent lots are earned through sequential confirmation, each lot requiring the prior lot to be filled, a time gate to be cleared, and a price trigger to be reached. Maximum capital is only deployed when the market has confirmed the trade multiple times.

Lot	Name	Alloc	Trigger	Gate	Purpose
Lot 1	The Scent	35%	Signal entry	None	Initial position; market must confirm
Lot 2	The Stalk	25%	Price confirmation + time	5 trading days	Largest add; time + price both required
Lot 3	The Strike	20%	Price confirmation	Lot 2 filled	Momentum continuation confirmed
Lot 4	The Jugular	12%	Price confirmation	Lot 3 filled	Trend extension
Lot 5	The Kill	8%	Price confirmation	Lot 4 filled	Maximum conviction; full position

Specific price thresholds at which Lots 2 through 5 trigger are proprietary and are not disclosed.

10% Max Portfolio Risk Exposure

At no point does the Fund risk more than **10% of total portfolio NAV** across all open positions combined. This portfolio-level risk ceiling ensures that even in a worst-case scenario where every open position hits its stop simultaneously, the maximum drawdown is capped at 10%. Recycled positions (stop beyond entry) carry $0 risk and do not count toward this limit.

Portfolio Heat Caps

Open risk ("heat") is further segmented by direction to prevent overweighting either side of the book:

Control	Cap	Description
Long Heat	10% of NAV	Total open risk across all long positions
Short Heat	5% of NAV	Total open risk across all short positions
Combined	15% of NAV	Theoretical max if both sides fully deployed

Sector Concentration: Advisory Framework

The Fund does **not** enforce a fixed sector concentration cap. The Strategy may concentrate in a single sector when trend and macro conditions favor it. Prior backtesting demonstrated that eliminating a hard position cap produced superior risk-adjusted returns. Primary capital protection is provided by: the 1% vitality cap per position, portfolio heat caps (10% long / 5% short / 15% total), the PNTHR Proprietary Stop Loss System (PPSLS), the 20-day stale-position exit, and the FEAST momentum-exhaustion alert.

The Risk Advisor emits an **advisory warning** at elevated net directional exposure (3 or more positions same direction in a sector). The warning is informational only and does **not** block trade entry. Two optional rebalancing paths are suggested:

- **Option A:** Close the weakest position (by Kill score) in the concentrated sector
- **Option B:** Add an opposite-direction position using top Kill candidates to balance exposure

ETFs are exempt from the concentration calculation (they are diversification instruments).

Stop Loss System: PNTHR Proprietary Stop Loss System (PPSLS)

All positions are protected by the **PPSLS**, a proprietary stop loss calculation that determines the most conservative of two variables and applies that price as the PNTHR Stop on all trades. The system allows price movement while remaining ready for counter-trend adverse directional risk. Stops never move against the trade:

- **BL positions:** Stop ratchets UP only (never moves down)
- **SS positions:** Stop ratchets DOWN only (never moves up)

Stop Ratchet on Each Lot Fill

Lot Fill Event	Stop Moves To	Effect
Lot 2 fills	Initial stop (unchanged)	Time + price confirmed, position monitored

Lot Fill Event	Stop Moves To	Effect
Lot 3 fills	Average cost (breakeven)	Capital protected; initial investment covered
Lot 4 fills	Lot 2 fill price	Lot 2 gain locked in as minimum exit
Lot 5 fills	Lot 3 fill price	Full pyramid; aggressive ratcheted stop

Systematic Exit Discipline

Every exit is categorized and scored for discipline. Manual overrides are tracked and penalized. The system rewards systematic behavior:

Exit Type	Trigger	Discipline Score
PNTHR Signal	Proprietary PNTHR Exit Signal is generated	12/12 (Perfect)
FEAST	RSI > 85 momentum exhaustion, sell 50% immediately	12/12 (Perfect)
PNTHR PPSLS Stop Hit	Ratchet stop hit	10/12
RISK_ADVISOR	Sector/portfolio concentration breach	10/12
STALE_HUNT	20-day position without development, mandatory closure	10/12
MANUAL	Discretionary exit	4/12 (profit) or 0/12 (loss)

Automated Alert Systems

FEAST Alert (Momentum Exhaustion)

When weekly RSI exceeds 85 on any long position, the system triggers a **FEAST Alert**, a high-urgency notification to sell 50% of the position immediately. RSI > 85 historically signals extreme momentum exhaustion with high reversal probability.

Stale Hunt Timer

Positions that fail to develop are automatically flagged based on trading days since entry:

Trading Days	Status	Action
15-17 days	STALE (Yellow)	Review position thesis
18-19 days	STALE (Orange)	Prepare for liquidation
20+ days	LIQUIDATE (Red)	Mandatory position closure

Wash Sale Compliance

30-day re-entry lockout on losing trades, **automatically enforced by the pipeline**. Any attempt to re-enter a position within 30 calendar days of closing at a loss is blocked at the pre-trade scoring level (Analyze Score penalizes wash sale violations with 0/5 points).

Pre-Trade Risk Assessment (Analyze Score)

Every potential trade is scored through the **Analyze system**, a 100-point pre-trade assessment where every point is evaluable at scan time. No estimation, no guesswork:

Tier	Weight	Components
T1: Setup Quality	40 points	Signal Quality (15), Kill Context (10), Index Trend (8), Sector Trend (7)
T2: Risk Profile	35 points	Freshness (12), Risk/Reward (8), Prey Presence (8), Conviction (7)
T3: Entry Conditions	25 points	Slope Strength (5), Sector Concentration (5), Wash Compliance (5), Volatility/RSI (5), Portfolio Fit (5)

Score >=75% = green (optimal). >=55% = yellow (proceed with awareness). <55% = red (reconsider). SIZE IT is blocked when Analyze detects errors in underlying data.

Macro & Sector Gates

The orders pipeline applies four sequential gates before any position can be opened. A candidate must pass all gates or the trade is rejected for that week.

- **Direction Index Gate:** the stock's applicable index is determined by its actual historical membership (S&P 500 member uses SPY; Nasdaq-100-only member uses QQQ; S&P MidCap 400 member uses MDY; fallback SPY). The index's close must align with the trade direction relative to its weekly trend-filter.
- **Sector ETF Gate:** the stock's sector ETF (XLK, XLE, XLV, XLF, XLY, XLC, XLI, XLB, XLRE, XLU, XLP) is evaluated against a sector-specific trend-filter period, empirically optimized per sector. Specific periods are proprietary. BL candidate passes if the sector ETF is above its filter; SS candidate passes if below.
- **D2 Gate:** the stock's multi-dimensional Kill score D2 component (sector directional return) must be non-negative.
- **SS Crash Gate:** short candidates only. Requires dual confirmation of sustained bearish direction-index momentum and pronounced recent sector weakness. Specific thresholds are proprietary. Gate intentionally restrictive to limit short exposure to market-stress regimes.

Worst-Case Validation (MAE Analysis)

The maximum adverse excursion (MAE) across all **2,614 closed pyramid trades** (Wagyu tier) was **-15.2%** on a single trade (ON, March 2021). Average MAE across all closed trades was **-1.07%**. At Lot 1 NAV-scaled sizing (35% of 1% vitality), the worst-case single-trade loss translated to approximately **0.5% of portfolio NAV**.

Even during the months when worst-case MAE trades occurred, the portfolio remained profitable on a net basis. The 1% vitality cap and 35% initial lot sizing ensure that no single adverse trade can materially impair investor capital. No

historical backtest period resulted in permanent capital loss on a full-position basis.